Can growth fund its own capital needs?

- Microsoft · FY2022–26 reported history · FY2027–29 forecast
- A reusable, evidence-based financial modeling case study
- Annual planning assumptions; not company guidance or investment advice

Revenue growth is only half the story.

- FY2026 revenue: $331.8B · operating income: $155.2B
- Cash capex: $115.9B · FCF: $67.0B
- Capital spending has become the key constraint to monitor.

One model. Three linked statements.

- Revenue and margins → net income → cash flow and equity
- Working capital, PP&E; and finance leases drive the balance sheet
- A stated cash floor triggers borrowing. Opening balances determine interest.

Make the assumptions reviewable.

- Base growth: 16.4% · margin: 45.7%
- FY2029 base revenue: $522.8B · FCF: $104.3B
- FY2029 FCF range: $75.4B downside to $129.7B upside

Four holdouts. Mixed evidence.

- Revenue MAPE: 4.6% · EBIT: 8.0% · FCF: 18.4%
- Revenue / FCF MAE beat the prior-growth baseline; EBIT does worse.
- Every FCF holdout overforecasts. Four origins cannot establish skill.

Protect growth through cash discipline.

- Gate incremental cash and lease capital commitments.
- Monitor operating margin, collections and capital utilization.
- Make discretionary buybacks conditional on liquidity needs.

Trace every step back to evidence.

- 165 annual facts reconciled to archived 10-K inline XBRL.
- 48 core model checks, stress tests and Excel formula evaluation.
- Open README, edit the workbook, explore the dashboard, rerun Python.